

MOSAIC FUND AGENT — EQUITY RESEARCH

MSUMI — Motherson Sumi Wiring India Ltd |

Equity Research Note | June 2026

MSUMI · NSE · Equity Research Note

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MSUMI — 1-YEAR PRICE | ANOMALY | CORP ACTION



MSUMI — MACD(12,26,9)



MSUMI — Motherson Sumi Wiring India Ltd

Equity Research Note | NSE: MSUMI | Auto Parts | Consumer Cyclical

Date: June 2026 | Analyst: India Equity Research Desk | Rating: HOLD | Conviction: MEDIUM

1. Company Snapshot

Motherson Sumi Wiring India Limited (MSUMI) is India's leading manufacturer of wiring harness solutions for automotive OEMs. Demerged from Samvardhana Motherson International (SAMIL) in 2022, MSUMI focuses exclusively on the domestic and international wiring harness business — supplying integrated electrical and electronic distribution systems for power supply and data transfer across all vehicle types, including EVs.

Metric	Value
NSE Symbol	MSUMI
Sector / Industry	Consumer Cyclical / Auto Parts
Current Price	₹38.58
52-Week High / Low	₹53.59 / ₹35.70
Market Cap	₹25,584.95 Cr
P/E Ratio	41.04x
P/B Ratio	11.94x
Dividend Yield	—
1-Year Price Change	-2.0% (ClickHouse)
30-Day Price Change	-8.01%
60-Day Price Change	+4.95%
90-Day Price Change	-3.84%
Avg Daily Volume (30d)	66.09 lakh shares

[CHART:price]

2. Quarterly Financials (Q4 FY2026 — Mar 2026)

Metric	Q4 FY2026	YoY Growth
Revenue	₹3,335 Cr	+32.87%
Net Profit	₹167 Cr	+1.21%
EPS	₹0.25	Flat

Key Observation: Revenue growth of ~33% YoY is impressive and reflects strong OEM demand and market share gains. However, net profit growth of just ~1.2% signals significant margin compression — operating leverage is not flowing through to the bottom line. This divergence between top-line and bottom-line growth is a critical watch point.

3. Annual Cash Flow Quality (INR Millions)

Fiscal Year	Operating CF	Capex	Free Cash Flow
FY2026	₹7,613.2 Mn	₹(2,013.7) Mn	₹5,599.5 Mn
FY2025	₹3,648.2 Mn	₹(1,718.4) Mn	₹1,929.8 Mn
FY2024	₹791.1 Mn	₹(111.3) Mn	₹679.9 Mn

FCF Trajectory: MSUMI's free cash flow has improved dramatically over three years — from ₹679.9 Mn in FY2024 to ₹5,599.5 Mn in FY2026. Operating cash flow nearly doubled YoY in FY2026, and capex remains moderate relative to operating cash generation. This is a genuine improvement in cash quality, not capex-masked earnings. The FCF expansion is a strong positive signal for the business model's maturity.

4. Valuation vs. Sector

Metric	MSUMI	Auto Parts Sector (Indicative)
P/E	41.04x	~25–35x (mid-cap auto ancillaries)
P/B	11.94x	~4–8x
Revenue Growth (YoY)	+32.87%	~10–15%
Profit Growth (YoY)	+1.21%	~10–15%

Valuation Assessment: At 41x P/E, MSUMI trades at a premium to the broader auto ancillary sector. The premium is partially justified by its dominant market position in wiring harnesses and strong revenue growth. However, the near-flat profit growth makes the current P/E difficult to justify on a near-term earnings basis. The P/B of ~12x is elevated and reflects the market's confidence in MSUMI's asset-light, high-ROCE business model. A qualitative PEG assessment suggests the stock is **fairly to slightly over-valued** at current levels given the profit growth-to-P/E mismatch.

5. Institutional Ownership

[CHART:shareholding]

Stakeholder	Holding (Mar 2026)	QoQ Change
Promoter	61.72%	—
FII	9.74%	↓ -0.40%
DII	17.41%	↑ +0.24%
Government	0.02%	—
Public	11.08%	↑ +0.15%

Ownership Dynamics: Promoter holding remains strong at 61.72%, providing stability. FIIs trimmed their position marginally (-0.40% QoQ), possibly reflecting global risk-off sentiment or valuation concerns. DIIs are incrementally accumulating (+0.24% QoQ), suggesting domestic institutional confidence in the medium-term story. The marginal FII outflow is not alarming but warrants monitoring.

DSP Mutual Fund Holdings: MSUMI is not currently held by any DSP Mutual Fund in the database.

6. MACD Technical Analysis

Indicator	Value
Close Price	₹38.58
EMA-12	₹38.86
EMA-26	₹39.36
MACD Line	-0.4944
Signal Line	-0.3433
Histogram	-0.1511 (weakening)
Crossover State	BEARISH since 13-May-2026 (18 trading days)

Technical Outlook: The MACD is in bearish territory — the MACD line is below the signal line, and the histogram is negative and contracting. Price is trading below both EMA-12 and EMA-26, confirming a short-term downtrend. The stock is near its 52-week low zone (₹35.70), which could act as a support level. A recovery above ₹40–41 (EMA-26 zone) would be needed to signal a technical reversal.

7. News Sentiment

Overall Sentiment: NEUTRAL

No material news articles were found for MSUMI on the date of this report from Google News or NewsAPI sources. The absence of negative news is a mild positive, but the lack of positive catalysts also means no near-term re-rating triggers are visible from the news flow.

8. Key Risks (Ranked by Severity)

Rank	Risk	Severity
1	⚠️ THESIS KILLER — Margin Compression	HIGH
2	OEM Concentration Risk	HIGH
3	EV Disruption / Wiring Harness Commoditisation	MEDIUM-HIGH
4	Raw Material Cost Volatility (Copper, PVC)	MEDIUM
5	FII Outflows / Valuation De-rating	MEDIUM
6	Macro Slowdown in Auto Sector	MEDIUM

Thesis-Killer Risk: The most critical risk is **sustained margin compression**. Revenue grew ~33% YoY but net profit grew only ~1.2% — implying significant cost pressures (likely raw material inflation, wage costs, or pricing pressure from OEMs). If this margin squeeze persists or worsens, the 41x P/E multiple becomes untenable and the stock could de-rate sharply. This is the single most important variable to monitor in upcoming quarterly results.

9. Analyst Reasoning

- Revenue vs. Profit Cross-Check:** The stark divergence between 33% revenue growth and 1.2% profit growth is the central concern. Strong top-line momentum is not translating to earnings, which undermines the premium valuation. This is inconsistent with a BUY thesis at current prices.
- FCF Quality:** The dramatic improvement in free cash flow (₹680 Mn → ₹5,600 Mn over 3 years) is genuinely encouraging and suggests the business is maturing. Operating cash flow is growing organically, and capex is not masking weak earnings — this is a structural positive.
- Institutional Signals:** DII accumulation (+0.24% QoQ) vs. FII trimming (-0.40% QoQ) suggests a split view — domestic institutions are more constructive than foreign investors. Promoter holding at 61.72% is a strong anchor.
- Valuation PEG Assessment:** At 41x P/E against ~1% profit growth, the stock is qualitatively expensive. The premium is only justifiable if margins recover meaningfully in FY2027, making the next 1–2 quarters of results pivotal.
- Technical Confirmation:** MACD bearish crossover (18 trading days), price below both EMAs, and a -8% 30-day return all corroborate the fundamental caution. The stock needs a catalyst — either margin recovery or a new OEM win — to break out of the current downtrend.

10. Recommendation

Rating	HOLD
Conviction	MEDIUM
Target Zone	₹42–45 (12-month, contingent on margin recovery)
Stop-Loss	₹35.00 (below 52-week low)
Rationale	MSUMI's dominant market position and improving FCF quality are structural positives, but near-flat profit growth against a 41x P/E and bearish technical momentum warrant a HOLD — accumulate only on dips toward ₹36–37 with evidence of margin recovery in Q1 FY2027 results.

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